

26STCV09310 26STCV09310

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCV09310 Hearing Date: September 18, 2026 Dept: 833

Pamela Bates Case No. 26STCV09310

Hearing:

September 18, 2026

v.

Location:

Stanley Mosk Courthouse

Department: 833

Mark Leonard, et. al. Judge: Joseph

Lipner

Order Denying Application for Preliminary

Injunction

Plaintiff

Pamela Bates ("Plaintiff") requesting a preliminary injunction ordering

Defendant Mark Leonard ("Leonard") and Mark Leonard Defined Pension Plan (collectively,

"Defendants") from taking possession of and/or selling the real property

located at 510 West Raymond Street, Compton, California 90220 ("Subject

Property").

The

Court tentatively DENIES the application for a preliminary injunction for the

reasons set forth below.

However,

the Court requests argument on the following question: Plaintiff may have demonstrated a question about the amount of the default. (See Reply at 2:26-4:5.) Assuming for the sake of argument that she has a likelihood of success on the merits as to the amount of the default, but that she is in default in some significant amount, is she entitled to a preliminary injunction?

LEGAL STANDARD

The purpose of a preliminary injunction is to preserve the status quo pending a decision on the merits. (*Major v. Miraverde Homeowners Ass'n.* (1992) 7 Cal. App. 4th 618, 623.) In deciding whether or not to grant a preliminary injunction, the court looks to two factors, including “(1) the likelihood that the plaintiff will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief.” (*White v. Davis* (2003) 30 Cal.4th 528, 553-54.) The factors are interrelated, with a greater showing on one permitting a lesser showing on the other. (*Dodge, Warren & Peters Ins. Services, Inc. v. Riley* (2003) 105 Cal.App.4th 1414, 1420.) However, the party seeking an injunction must demonstrate at least a reasonable probability of success on the merits. (*IT Corp. v. County of Imperial* (1983) 35 Cal.3d 63, 73-74.) The party seeking the injunction bears the burden of demonstrating both a likelihood of success on the merits and the occurrence of irreparable harm. (*Savage v. Trammell Crow Co.* (1990) 223 Cal.App.3d 1562, 1571.) Irreparable harm may exist if the plaintiff can show an inadequate remedy at law. (CCP § 526(a).)

“The granting or denying of a preliminary injunction does not constitute an adjudication of the ultimate rights in controversy.” (*Cohen v. Board of Supervisors* (1985) 40 Cal.3d 277, 286; see also *Yee v. American National Ins. Co.* (2015) 235 Cal.App.4th 453, 457-458 [“a preliminary injunction is not a determination on the merits....”].)

DISCUSSION

A. Summary of Facts

The application is based on Plaintiff's causes of action for (1) breach

of contract; (2) fraudulent concealment of facts; (3) negligent misrepresentation; (4) accounting; and (5) intentional infliction of emotional distress.

Plaintiff is the owner and resides in the Subject Property as her primary residence. (Choi Decl., ¶ 2.)

On or about September 17, 2024, Plaintiff entered into Loan Number: R000503 with Leonard. (Choi Decl., ¶ 3.) Plaintiff executed a written promissory note in favor of Leonard. (Choi Decl., ¶ 3.) The note is secured by a deed of trust. (Choi Decl., ¶ 3.)

To obtain the loan, Plaintiff certified under the penalty of perjury that the loan proceeds would be used only for business purposes, and certified under the penalty of criminal prosecution that the Property was held for investment purposes and that she would not occupy it. (Leonard Decl., ¶ 4.) The loan required interest-only payments until loan maturity on October 1, 2025, at which point the entire balance would become due and owing. (Leonard Decl., ¶ 5.)

Plaintiff asserts that she has made all payments in accordance with the Note, while Leonard has continued to provide payoff demands and payment histories that were incomplete, inaccurate, and misleading. (Choi Decl., ¶ 4.) Plaintiff asserts that Leonard also allegedly imposed late fees, a default interest rate, and other charges not authorized by the Note. (Choi Decl., ¶ 4.)

By contrast, Leonard says that Plaintiff agreed to be charged a fee for late payments and the Note allowed a higher default interest rate upon default. (Leonard Decl., ¶ 7.)

Leonard states that he started receiving Plaintiff's monthly payments late in February 2025. (Leonard Decl., ¶¶ 12, 13.)

Leonard received the last payment from Plaintiff on June 1, 2025. (Leonard Decl., ¶ 18.) During the summer of 2025, Leonard was in regular contact with Bates on the telephone to discuss her loan default and the upcoming loan maturity date. (Leonard Decl., ¶ 19.) Leonard sent Bates three accountings. (Leonard Decl., ¶¶ 20-22.)

The loan matured on October 1, 2025, with no payment. (Leonard Decl., ¶ 26.)

Between October 2025 and January 2026, Plaintiff claimed she was trying to refinance her loan, but never went through with the refinancing. (Leonard Decl., ¶¶ 27-36.)

On or about March 24, 2026, Lenders TD Service, LLC recorded a Notice of Default and Election to Sell Under Deed of Trust as Document No. 20260202407 in the Recorder's Office of Los Angeles County, California, against the Subject Property. (Choi Decl., ¶ 5.) Plaintiff did not cure her loan default. (Leonard Decl., ¶ 40.)

On July 9, 2026, Lenders TD Service recorded a Notice of Trustee's Sale Under Deed of Trust against the Subject Property. (Choi Decl., ¶ 6.) The trustee's sale is currently on hold because of the temporary restraining order. The loan continues to accrue interest at the post-maturity default rate, along with late fees, foreclosure fees, and legal fees. (Leonard Decl., ¶ 42.) Plaintiff has also failed to make timely payments for property taxes, and there are now approximately \$5,763.28 in back taxes owed on the Subject Property. (Leonard Decl., ¶ 43.)

B. Judicial Notice

The Court grants the request for judicial notice ("RJN").

C. Plaintiffs' Likelihood of Success on the Merits

The application is based on Plaintiff's causes of action for breach of contract; fraudulent concealment of facts; negligent misrepresentation; accounting; and intentional infliction of emotional distress.

1.

Breach of Contract

To

establish a claim for breach of contract, a plaintiff must prove: (1) the existence of a contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach of the contract; and (4) damages incurred by plaintiff as a result of the breach. (Durell v. Sharp Healthcare (2010) 183

Cal.App.4th 1350, 1367.)

Plaintiff

has alleged that Leonard has breached his obligations under the promissory note by charging the loan for “default interest, late fees, and other charges not authorized by the Note,” failing to properly credit the loan for payments, providing “inaccurate and misleading payoff demands and payoff histories,” failing to provide “a complete and accurate accounting of the Loan,” and “[a]cting in a manner that prevented Plaintiff from refinancing the Loan [...]” (FAC, ¶ 39.)

Plaintiff’s

promissory note authorizes the charging of default interest, late fees, and certain costs incurred by the lender. (Leonard Decl. Ex. 1 [Note, para. 4, 6, 7].) Plaintiff failed to repay the loan as agreed or by its maturity date. (Leonard Decl., ¶¶ 12-18, 26.) The allegation that Leonard failed to provide accurate loan information and acted in a manner to prevent a loan refinance are not based on any identifiable contract provisions.

Plaintiff can also not establish her performance of obligations under the promissory note, which required her to make timely and full payment on the loan by October 1, 2025. (Leonard Decl. Ex. 1, para. 3.) Plaintiff failed to pay all sums due and the loan is fully matured and in default for nonpayment. (Leonard Decl., ¶¶ 11-18, 26.)

Finally, Leonard cannot be liable for breaching a promissory note because a promissory note is one sided. It is a “form of negotiable instrument—an unconditional promise to pay money signed by the person undertaking to pay, payable on demand, or at a definite time.” (Saks v. Charity Mission Baptist Church (2001) 90 Cal.App.4th 1116, 1132.)

Therefore, Plaintiff is unlikely to prevail on the breach of contract claim.

2.

Fraudulent Concealment

The

elements of a cause of action for fraud based on concealment are (1) the

defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (Bank of America Corp. v. Superior Court (2011) 198 Cal.App.4th 862, 870.)

Based

on the record before the Court, Leonard did not conceal anything related to the loan. Leonard sent loan accountings to Plaintiff on eight separate occasions starting in May 2025. (Leonard Decl., ¶¶ 20-24, 32, 35 and Ex. 6-10, 13 15.) Plaintiff also alleges that Leonard suppressed facts with the intention to prevent her from refinancing the loan. (FAC, ¶ 47.) However, the evidence before the Court indicates that Leonard wanted Plaintiff to refinance the loan, because that would have allowed him to get his money. (Leonard Decl., ¶ 45.)

It

is also unclear how Plaintiff was damaged. Leonard was not aware of Plaintiff's attempt to refinance the loan in or around March 2025. (Leonard Decl., ¶ 44.) Because it is difficult to understand how a borrower would refinance her loan without participation from the current lender, this allegation is dubious. (Ibid.)

Therefore,

Plaintiff is unlikely to prevail on a fraudulent concealment claim.

3.

Negligent Misrepresentation

The

elements of a cause of action for negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance or the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage. (Borman v. Brown (2021) 59 Cal.App.5th 1048, 1060.)

The

FAC lists "false representations" (FAC, ¶ 54), but their asserted falsity is not supported by the record. The evidence before the Court indicates that Plaintiff was in default, Plaintiff had failed to make required payments, the amounts stated by Leonard were accurate, and late fees and charges were properly due and owing under the Note. (See, generally, Leonard Decl.) Plaintiff's disagreement with the numbers on the accounting does not mean that Leonard engaged in a misrepresentation.

Therefore,
Plaintiff is unlikely to prevail on a negligent misrepresentation claim.

4.

Accounting

"An action for an accounting may be brought to compel the defendant to account to the plaintiff for money or property (1) where a fiduciary relationship exists between the parties, or (2) where, even though no fiduciary relationship exists, the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 910.)

Here,
Plaintiff alleges that Leonard must provide a loan accounting because she cannot ascertain what she owes him. (Complaint, ¶ 64.) Leonard has already provided an accounting eight separate times. (Leonard Decl., ¶¶ 20-24, 32, 35 and Ex. 6-10, 13 15.)

Therefore,
Plaintiff is unlikely to prevail on a claim for an accounting.

5.

Intentional Infliction of Emotional Distress

An action for intentional infliction of emotional distress requires that (1) the defendant engages in extreme and outrageous conduct with the intent to cause, or with reckless disregard for the probability of causing, emotional distress; (2) the plaintiff suffers extreme or severe emotional distress; and (3) the defendant's extreme and outrageous conduct was the actual and proximate cause

of the plaintiff's extreme or severe emotional distress. (Ragland v. U.S. Bank National Assn. (2012) 209 Cal.App.4th 182, 204.)

The

Complaint alleges that Leonard falsely asserted Plaintiff was in default under the Loan, failed to properly credit Plaintiff's payments, withheld and concealed accurate loan information, provided misleading and inaccurate payoff demands, and imposed improper interest, fees and charges in an effort to extract additional money from Plaintiff and prevent her from refinancing the loan. (Complaint, ¶ 69.)

As

the Court has previously said, all of the admissible evidence indicates that these allegations are not correct.

Finally,

Leonard's foreclosure proceedings against the Property are not actionable in tort. (Sierra-Bay Fed. Land Bank Association v. Superior Court (1991) 227 Cal.App.3d 318, 334 ["A commercial lender is not to be regarded as the guarantor of a borrower's success and is not liable for the hardships which may befall a borrower. (Citation.) It is simply not tortious for a commercial lender to lend money, take collateral, or to foreclose on collateral when a debt is not paid." (citations omitted)].)

Plaintiff

is unlikely to prevail on an intentional infliction of emotional distress claim.

D. Balance of Harms

For the second factor, the court must consider "the interim harm that the plaintiff would be likely to sustain if the injunction were denied as compared to the harm the defendant would be likely to suffer if the preliminary injunction were issued." (Smith v. Adventist Health System/West (2010) 182 Cal.App.4th 729, 749.) "Irreparable harm" generally means that the defendant's act constitutes an actual or threatened injury to the personal or property rights of the plaintiff that cannot be compensated by a damages award.

(See Brownfield v. Daniel Freeman

Marina Hospital (1989) 208 Cal.App.3d 405, 410.) The showing of harm is even more demanding

when a Plaintiff seeks injunctive relief against a public entity because “[t]here is a general rule against enjoining public officers or agencies from performing their duties.” (Tahoe Keys Property Owners’ Assn. v. State Water Resources Control Bd. (1994) 23 Cal.App.4th 1459, 1471.)

Plaintiff argues that if an injunction is denied, Defendants may sell the Subject Property to a third party, which would cause irreparable harm because it would extinguish Plaintiff’s interest. Plaintiff indicates that Defendants are unlikely to face harm because the deed of trust remains on the record and Defendants’ security interest is unimpaired; at most sale is delayed.

The Court does not agree that Plaintiff is likely to suffer from irreparable harm. To obtain the loan, Plaintiff certified under penalty of perjury that the loan proceeds would be used only for business purposes, and certified under penalty of criminal prosecution that the Property was held for investment purposes and that she would not occupy it. (Leonard Decl., ¶ 4.) The loss of investment property is compensable in money. (Civil Code § 3387.)

Plaintiff now claims the Property is her residence. (Choi Decl., ¶ 2.) This raises the question of whether Plaintiff, not Leonard, engaged in misrepresentations to secure the loan in the first place.

Either way, it does not change the underlying facts: Leonard invested his own money in Plaintiff’s loan (Leonard Decl., ¶ 2.) The loan has been due in full for nearly a year, all the while Leonard is deprived of the money he relies upon. (Id., ¶¶ 26, 42.) Plaintiff has also failed to pay property taxes, placing the Property at risk of a tax lien and eventual sale. (Id., ¶ 43.)

CONCLUSION

The Court DENIES the application for a preliminary injunction.

IT IS SO ORDERED.

Dated: September 18,

2026

Joseph
Lipner

Superior
Court Judge